25901035 **Reg.No:……**
Name :……

MAHATMA GANDHI UNIVERSITY, KOTTAYAM
MGU-BVOC (HONOURS) REGULAR EXAMINATION, NOVEMBER 2025
FIRST SEMESTER
Minor Pathway Course (MPC)-MG1MPCBLM100-CORPORATE REGULATIONS AND COMPLIANCE
(2025 Admission onwards)

Duration: 1hour 30 minutes **Maximum Marks: 50**

Remember(K), Understand(U), Apply(A),Analyse(An),Evaluate(E),Create(C),Skill(S),Interest(I) and Appreciation(Ap)

ANSWER KEY

Part A
MCQ
Answer any 10 questions
Each question carries 1 mark

1. Which of the following is a restriction when altering the Articles of Association of a company?

Answer: a) The alteration must not be contrary to any provisions in the Memorandum of Association. [An]/ [CO2]

2. Which of the following is the primary characteristic of a private limited company?

Answer: b) Limited liability for shareholders. [U]/ [CO1]

3. Which of the following statements about promoters is true?

Answer d) Both A and B are correct. [U]/ [CO1]

4. The Companies Act 2013 applies to which of the following types of companies?

Answer: c) Both public and private companies. [U]/ [CO1, CO2, CO3]

5. The rights of equity shareholders include:

Answer c) Voting rights and participation in the company's management. [An]/ [CO2]

6: What is the effect of altering the Articles of Association of a company?

Answer d) It only affects the internal management rules of the company. [An]/ [CO2]

7. What is the primary advantage for the investor in choosing convertible debentures over non-convertible debentures?

Answer.b) Convertible debentures can be converted into equity shares, offering potential capital gains. [An]/ [CO2]

8: When a company issues convertible debentures, the investors' key decision is whether to

Answer a) Convert the debentures into equity shares or continue to receive fixed interest.

[An]/ [CO2]

9: A Board Meeting of a company is typically convened to:

Answer: a) Discuss issues related to the company's shareholders [A]/ [CO4]

10. What is the role of the meeting minutes?

Answer a) To document all the decisions and actions taken during the meeting [U]/ [CO4]

11. Which type of resolution is required for a company to change its articles of incorporation?

Answer b) Special resolution [U]/ [CO4]

12. In the event of winding up, which of the following is NOT an action the company takes?

Answer c) Issuing new shares to raise funds [A]/ [CO4]

Part B
Short Answer Questions
Answer any 8 questions
Each question carries 5marks

13. Explain the effectiveness of NCLT in resolving company law disputes efficiently.

The National Company Law Tribunal (NCLT) in India is effective in resolving company law disputes efficiently by providing a specialized forum for adjudicating matters related to company law. It handles cases like disputes between shareholders, oppression and mismanagement, winding up of companies, and more. NCLT aims to provide speedy resolution compared to traditional courts. [An]/ [CO2]

14. What is an Abridged Prospectus? Describe its contents and purpose.

An Abridged Prospectus is a shorter version of the prospectus issued by a company to potential investors when issuing securities. It contains key details about the company and the issue but in a condensed form. Its purpose is to provide essential information to investors for making informed decisions without overwhelming them with full details as in a complete prospectus. [U]/[CO1]

15. Explain how perpetual succession ensures the continuous existence of an incorporated company.

Perpetual succession means a company continues to exist despite changes in its members (shareholders or directors). An incorporated company has a separate legal identity from its members. So, even if shareholders or directors die or transfer their shares, the company keeps existing until it's wound up legally. [U]/ [CO1, CO3]

16. Explain the purpose and importance of the 'objects clause' in the Memorandum of Association.

The objects clause in a company's Memorandum of Association defines the scope of activities the company can undertake. Its purpose is to specify the company's objectives and limit its actions to those stated, protecting shareholders and stakeholders by ensuring the company doesn't engage in activities beyond its stated objectives. [U]/[CO1]

17. Describe statutory provisions that allow lifting the corporate veil under the Companies Act.

Under the Companies Act, 2013 in India, the corporate veil can be lifted in certain situations like fraud, improper conduct, or to determine the true nature of a transaction. Courts may disregard the separate legal entity principle to uncover the reality behind the corporate facade when there's misuse of the corporate structure. [U]/ [CO1, CO2]

18. Explain the concept of One Person Company (OPC) introduced in the Companies Act, 2013.

A One Person Company (OPC) is a company with only one member (shareholder). Introduced in the Companies Act, 2013, it allows a single person to incorporate a company, enjoying benefits of limited liability while having full control. [U]/ [CO1, CO2, CO3]

19. Distinguish between equity shares and preference shares.

Equity shares give shareholders voting rights and dividends based on company profits. Preference shares have preferential rights to dividends (fixed rate) and repayment of capital but typically don't have voting rights unless specified. [An]/ [CO1, CO2, CO3]

20. Explain the procedure for the appointment of directors in a public company.

In a public company under the Companies Act, 2013, directors are appointed by shareholders through a resolution in a general meeting. The company must follow provisions regarding number of directors, qualifications, disqualifications, and rotational retirement of directors.

[U]/[CO3]

21. What is meant by membership in a company? Who can become a member?

Membership in a company refers to being a shareholder. Anyone (individuals, bodies corporate) who agrees to become a member and whose name is entered in the register of members can become a member by subscribing to the memorandum, agreeing to take shares, or by transfer of shares. [U]/[CO3]

22: Qualifications for a company secretary

In India, to be appointed as a company secretary, an individual typically needs to be a member of the Institute of Company Secretaries of India (ICSI). The qualifications include:

- Passing the exams conducted by ICSI.
- Completing the required practical training.
- Being a member of ICSI.

[K]/[CO3]

23: Corporate Social Responsibility (CSR) importance

Corporate Social Responsibility (CSR) refers to a company's commitment to operate ethically and contribute to the economic development of society while improving the quality of life of the workforce, their families, and the local community. In today's business environment in India, CSR is important because:

- It enhances the company's reputation and brand image.
- CSR activities can contribute to sustainable development.
- Companies in India with a certain turnover or profit are mandated to spend a percentage of their profits on CSR activities as per the Companies Act, 2013.

[E]/ [CO4, CO5]

24: Resolution for winding up operations and distributing assets.

For a company to wind up its operations and distribute assets among shareholders, a Special Resolution is typically required. This is as per the Companies Act, 2013, where a special resolution needs to be passed by the shareholders for winding up the company voluntarily.

[A]/[CO4]

25: Provisions related to CSR

In India, provisions related to CSR are primarily governed by Section 135 of the Companies Act, 2013. Key points include:

- Companies with a net worth of ₹500 crore or more, or turnover of ₹1000 crore or more, or a net profit of ₹5 crore or more during any financial year are required to constitute a CSR Committee.
- Such companies need to spend at least 2% of their average net profits of the preceding three financial years on CSR activities.
- CSR activities should be in areas like education, healthcare, environment sustainability, etc., as specified in Schedule VII of the Act. [E]/[CO5]